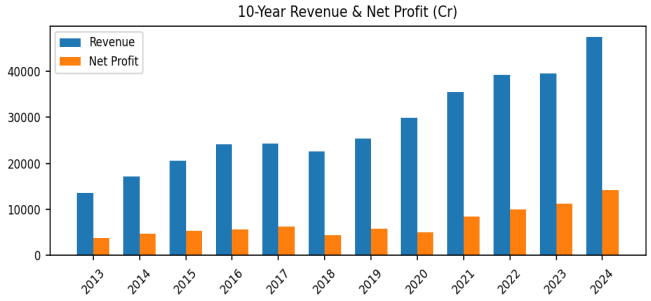
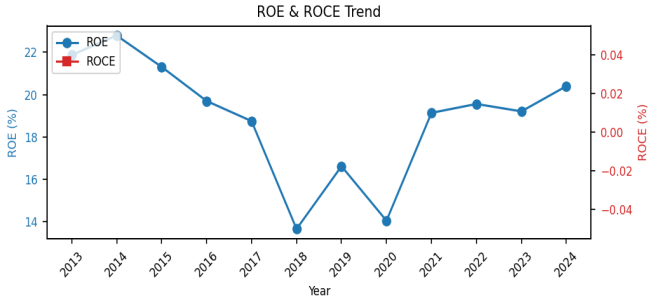
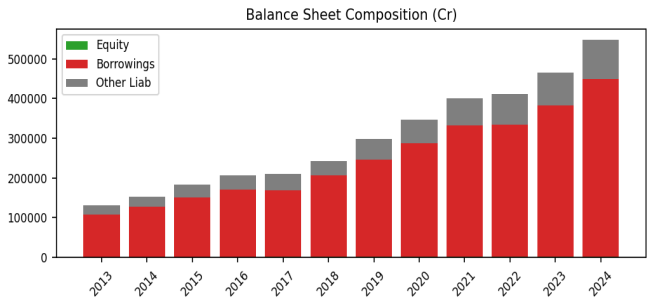
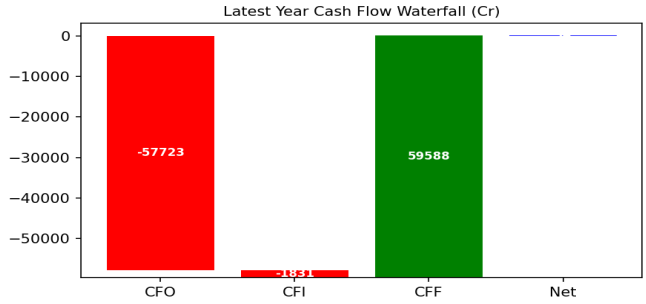
REC Ltd (RECLTD)

Revenue	Net Profit	Total Equity
■4.8T	■1.4T	■2633Cr
ROE	**ROCE**	**D/E**
20.4%	-	6.42x









Pros	Cons
• Operating profit margin above 25% indicates strong pricing power and cost discipline (Conf: 80%) • Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding (Conf: 85%) • Revenue growing slower than profits shows improving operating leverage and scale benefits (Conf: 70%)	• Free cash flow negative for 3 consecutive years raises concern about cash generation quality (Conf: 95%) • Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility (Conf: 80%)

Capital Allocation Pattern: Growth Funded by Debt